

# CARRIER SERVICES AGREEMENT

Between Contoso Distribution Center Fargo (the customer) and Fabrikam Logistics LLC, 77 Rail Yard Road, Chicago, IL (the carrier).

Subject: less-than-truckload transport from the Fargo distribution center. Synthetic demo contract.

## 1. Term and renewal

The agreement runs for 24 months from the effective date and then renews for periods of 12 months. Either party may object to a renewal with 90 days' written notice.

## 2. Rates

Base rate for the lane Fargo-Minneapolis is USD 19.90 per 100 kg for less-than-truckload. Other lanes follow Schedule A and are at market index.

## 3. Fuel surcharge

A fuel surcharge applies as published weekly. The surcharge is capped at 12 percent of the freight charge.

## 4. Payment terms

Invoices are payable within 30 days of receipt of a correct invoice.

## 5. Price adjustment

Rates may be adjusted once per year by the change in the consumer price index, but by no more than 3.0 percent.

## 6. Service levels

The carrier commits to an on-time delivery rate of 98 percent per month. If the rate falls below 96 percent, the customer receives a service credit of 5 percent of that month's invoiced freight.

## 7. Liability and claims

Liability for loss or damage is limited to the invoice value of the affected goods, up to USD 50,000 per claim. Claims must be filed within 30 days of delivery.

## 8. Data protection

Shipment and consignee data is processed in the United States and in the European Union. The carrier maintains a list of subprocessors and informs the customer 30 days before any change. Personal data breaches are reported within 72 hours.

## 9. Termination and exit

The customer may terminate for convenience at any time with 90 days' written notice and without a fee. There is no minimum volume commitment.